"secured" loan, and when you can't make the payments the lender can and will take back the car. You'll be left in most cases paying on a car that you no longer have.

The second lesson that Jessica learned was that if a repossessor really wants your car, they will probably get it. Most people will never actually see their car being repossessed. The repossessor will try to take your car when you are not around and will employ creative ways to do so. Jessica's experience in the supermarket was an unusual, but pointed example of these tactics.

By keeping the lines of communication open, Jessica could have probably prevented her car's eventual repossession. Her options could have included:

1. Interest only—which would have allowed her to make interest only payments over a short period of time
2. Refinance of the loan terms—which would have resulted in the monthly payments being reduced but the repayment period being extended
3. Extension—which would have allowed the addition of the delinquent month(s) onto the end of the loan
4. Loan assumption—which would have allowed someone else to have taken over the loan and the car would then technically become their property
5. Sale—which, if the dealer would agree to this, the car could be sold and the proceeds would help to pay off the loan. Usually the amount the car is sold for is lower than the amount owed the dealer, causing a deficiency balance.

These options were not available to Jessica since she chose to avoid the situation altogether. Avoidance of the problem, as you learned in Chapter 1, will almost never lead to a resolution of the problem that is the most favorable for you.